

ANNEXURE – IV

BUSINESS RESPONSIBILITY REPORT

Section A: General Information about the Company

1.	Corporate Identity Number (CIN) of the Company	L13100TG1958G0I001674		
2.	Name of the Company	NMDC Limited (NMDC)		
3.	Registered address	Khanij Bhavan, 10-3-311/A, Castle Hills, Masab Tank, Hyderabad – 500 028		
4.	Website	www.nmdc.co.in		
5.	E-mail id	ims@nmdc.co.in		
6.	Financial Year reported	April 1, 2021 – March 31, 2022		
7.	Sector(s) that the Company is engaged in (industrial activity code-wise): The Company is engaged in exploration and production of Iron Ore along with Diamond, production and sale of Sponge Iron and generation and sale of Wind Power.			
	Description	Group	Class	Sub Class
	Mining of Iron Ore	071	0710	07100
	Mining of Diamond	089	0899	08991
	Manufacture of Sponge Iron	241	2410	24102
	Electric power generation (wind)	351	3510	35106
	Iron Ore Pellets	241	2410	24101
8.	List three key products/services that the Company manufactures/provides (as in balance sheet): Iron Ore, Diamond and Pellets			
9.	Total number of locations where business activity is undertaken by the Company Number of National Locations : Four (4) - Chhattisgarh , Karnataka, Madhya Pradesh and Andhra Pradesh			
10.	Markets served by the Company – Local/State/National/International: NMDC serves the National market and also the International market by exporting iron ore to countries like Japan and South Korea			

Section B: Financial Details of the Company

1.	Paid up Capital (INR)	293.07 crores
2.	Total Turnover (INR) (Total Income)	25,882 crores
3.	Total profit after taxes (INR)	9,398 crores
4.	Total Spending on Corporate Social Responsibility (CSR) as percentage of profit after tax.	₹ 287.33 Crore [(3.06% on CY Profits) (3.88% of average PBT of three preceding Years)].

5. List of activities in which expenditure in 4 above has been incurred:

NMDC has framed a comprehensive CSR policy for addressing its objectives, focus areas, organizational mechanism, guidelines for identifying the CSR activities along with the implementation and monitoring strategies. This policy also addresses in detail the budgetary allocation, approval methodology and fund utilization mechanism. The major areas in which expenditure has been incurred are as listed below:

Focus Areas

Prime Focus Areas

- Employment enhancing Vocational Skills including Skill Up-gradation
- Drinking Water including integrated water shed development & Sanitation
- Promotion of Education- special Education in primary schools with special focus on Districts in which

NMDC projects are located

- Health & Nutrition, with special thrust on the fight against COVID 19 Pandemic
- Rural Development Projects
- Ensuring Environmental Sustainability
- Sustainable Natural Resource Management

Other Focus Areas

- Promoting gender equality and empowering women - Setting up Homes & Hostels for women and Orphans; Setting up Homes, day-care centre and such other facilities for senior citizens and measures for reducing inequalities faced by Socially and Economically backward groups
- Eradicating Hunger, Poverty & Malnutrition
- Reducing Child Mortality & Improving Maternal Health
- Promotion of Sports

Section C: Other Details

1. Does the Company have any Subsidiary Company / Companies?

Yes. NMDC has following Indian subsidiary companies, viz;

- J&KMDC Limited
- Karnataka Vijaynagar Steel Limited
- NMDC Steel Limited
- NMDC CSR Foundation

2. Do the Subsidiary Company / Companies participate in the BR initiatives of the parent Company? If yes, then indicate the number of such subsidiary Company(s).

NMDC keeps all its subsidiaries informed about the Business Responsibility initiatives. It also encourages its subsidiaries to participate in such initiatives.

3. Do any other entity / entities that the Company does business with participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, More than 60%]

No.

Section D: Business Responsibility Information

1. Details of Director / Directors responsible for BR

a) Details of the Director/Director responsible for implementation of the BR Policy /Policies

DIN Number	09296720
Name	Dilip Kumar Mohanty
Designation	Director (Production)

b) Details of the BR head

S.No	Particulars	Details
1	DIN Number (if applicable)	NA
2	Name	Shri A.S. Pardha Saradhi
3	Designation	Executive Director & Company Secretary
4	Telephone number	040-23538757
5	Email-id	cs_pardha@nmdc.co.in

2. Principle-wise (as per NVGs) BR Policy / policies (Reply in Y / N)

The National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business (NVGs) released by the Ministry of Corporate Affairs has adopted nine areas of Business Responsibility. These briefly are as under:

P1	Businesses should conduct and govern themselves with Ethics, Transparency and Accountability
P2	Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle
P3	Businesses should promote the wellbeing of all employees
P4	Business should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.
P5	Businesses should respect and promote human rights
P6	Business should respect, protect, and make efforts to restore the environment
P7	Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner
P8	Business should support inclusive growth and equitable development.
P9	Businesses should engage with and provide value to their customers and consumers in a responsible manner

		Business ethics	Product responsibility	Wellbeing of Employees	Stakeholder engagement & CSR	Human Rights	Environment	Public Policy	CSR	Customer relations
No	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1	Do you have policy/policies for	Y*	Y*	Y*	Y*	Y*	Y*	Y*	Y*	Y*
2	Has the policy been formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
3	Does the policy conform to any national / international standards? If yes, specify?	Y	Y	Y	Y	Y	Y	Y	Y	Y
4	Has the policy been approved by the Board? If yes, has it been signed by MD/ owner/ CEO/ appropriate Board Director?	Y	Y	Y	Y	Y	Y	Y	Y	Y
5	Does the Company have a specified committee of the Board/ Director/Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	Y	Y	Y
6	Indicate link for the policy to be viewed online	Y ⁱ	Y ⁱⁱ	Y ⁱⁱⁱ	Y ^{iv}	Y ^v	Y ^{vi}	Y ^{vii}	Y ^{viii}	Y ^{ix}
7	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
8	Does the Company have in-house structure to implement the policy/policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
9	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
10	Has the Company carried out independent audit/evaluation of the working of this policy by an internal or external agency?	Y [#]	Y [#]	Y [#]	Y [^]	Y [#]	Y [^]	Y [#]	Y [#]	Y [#]

* All the policies are embedded and aligned to ISO 14001:2004 (Environmental management systems), ISO 9001:2008 (Quality management systems) and OHSAS 18001:2007 (Occupational health and safety), United Nations Global Compact, Corporate Environmental Policy and CSR policy.

The comprehensive Studies commissioned by NMDC aimed at developing a clearer understanding of the impact of NMDC's CSR activities reached its conclusion with the submission of the final Reports pertaining to Impact Assessment & Social Audit and the relevant Reports are displayed on the Official website of the Company at the following link: <https://www.nmdc.co.in/csr/csr-activities/impact-assessment>

NMDC has published its CSR Policy and also publishes monthly update on all CSR activities on its website. Please see below hyperlinks for more information.

<https://www.nmdc.co.in/csr/csr-regulations>

<https://www.nmdc.co.in/csr/csr-activities/details-of-csr-activities>

Internal; ^ External

2a. if answer to S. No. 1 against any principle is 'No', provide explanation:

Sl. No	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1	The Company has not understood the Principles									
2	The Company is not at a stage where it finds itself in a position to formulate and implement the policies on specified principles.									
3	The Company does not have financial or manpower resources available for the task									
4	It is planned to be done within next 6 months									
5	It is planned to be done within the next 1 year									
6	Any other reason (please specify)									

3. Governance related to BR:

Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, More than 1 year.

NMDC assesses its BR performance on regular basis. Also, the Chairman-cum-Managing Director of NMDC communicates the performance of the NMDC on the ten principles of the International framework 'United Nations Global Compact' annually.

Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

NMDC has published its second Sustainability Report "Expanding Horizons" as per the Global Reporting Initiative (GRI) Standards. The report captures the initiatives taken by NMDC over the years in Economic, Environmental and Social aspects. The report also ushers in a new resolve in the organization to take Sustainable Development to greater heights. The report highlights the efforts done by NMDC in transforming people and societies in the vicinities of its operating mines. Please see the below hyperlink for more information on NMDC Sustainability Report

https://www.nmdc.co.in/Docs/NMDC-Sustainability/NMDC_Sustainability_Report_2018%20Final.pdf

NMDC also publishes its Corporate Environmental policy along with six monthly environmental progress reports for its project sites on its website. Please see the below hyperlink for more information on the environmental progress reports.

<https://www.nmdc.co.in/EnvironmentalMgmt.aspx>

Section E: Principle-wise Performance

Principle 1: Ethics, transparency and accountability

1. **Does the policy relating to ethics, bribery and corruption cover only the Company? Yes/No. Does it extend to the Group/Joint Ventures/ Suppliers/ Contractors/NGOs /Others?**

Yes, NMDC and its subsidiaries are committed to working with stakeholders in government, business and civil society to promote good governance, responsible use of mineral wealth and to prevent corruption. NMDC has also signed the integrity Pact (IP) with Transparency International India (TII). Also, the Vigilance Department at NMDC guides and facilitates for impartial, fair and transparent decision making and gives priority to preventive vigilance, with proactive attitude.

2. **How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management?**

About 9 shareholder complaints have been received in the financial year 2020-21 and all of them have been successfully resolved. NMDC has formulated its Whistle Blower Policy to achieve the highest possible standards of ethical, moral and legal business conduct and also to strengthen its commitment to open and transparent communication.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle

1. **List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and / or opportunities.**

NMDC adopted sustainable mining practices and production processes for all its three products viz; Iron Ore, Diamond and Sponge Iron. It ensures to implement appropriate environmental measures in all its mining operation to protect and safeguard the environmental parameters such as air, water, land, noise and biodiversity.

NMDC wishes to embark on low carbon growth trajectory in its operations and water conservation measures. Few of the measures taken-up in this respect are recycle and reuse. The treated waste water reused for beneficiation of ore process, construction of ameliorative measures like buttress walls, check dams, green belt development in the project premises. Digging contour trenches and biological reclamation of rock waste dumps to minimize land erosion.

Towards water pollution, the environmental measures adopted includes construction of check dams for treatment of surface runoff,

tailing dams for treatment of process effluents, effluent treatment plant for treatment of industrial effluents and sewage treatment plant for treating of domestic effluents. Towards safeguarding the environment, NMDC also supports the Hariyar Chhattisgarh plantation program of CG Govt.

Company has a well-defined CSR policy run by the CSR department for peripheral and community development. The CSR team consults the local community around its mining belts and identifies the major focus areas for implementing various CSR activities. It has contributed to the society by implementing activities like roads, bridges, building of residential schools and hostels, operating 'hospitals on wheels, conducting medical camps and providing free treatment to local tribal's, electrification of villages and many more such initiatives.

NMDC also supports natural habitation and wild life protection by implementing bio-diversity conservation plan through State Forest Dept to maintain the ecological balance of the area.

2. **For each such product, provide the following details in respect of resource use (energy, water, raw material etc) per unit of product (optional):**

- i. **Reduction during sourcing / production / distribution achieved since the previous year**

NMDC utilize optimum consumption of resource such as electricity, fuel oil, lubricant oil, raw material and water. The targets are fixed for specific consumption of resource usage. The achievements of the same are reviewed in internal and external audits of quality and environment management system. Water and energy audits are conducted at all project sites. These audits also help to identify and prioritize energy efficient technological measures and savings opportunities.

The specific energy consumption at the project sites is seen to be improving with the implementation of few of the energy efficient measures. Even though the specific water consumption is low as compared to electricity, NMDC implementing water conservation and management measures by installing secondary waste water treatment systems at most of the project sites. The treated water is recycled and reused for various purposes.

- ii. **Reduction during usage by consumers (energy, water) achieved since the previous year**

The volume of NMDC's final product is bulk in nature and gets complex to track

the reduction during usage by consumer. However, it sensitizes the use of water and energy where ever possible.

3. **Does the Company have procedures in place for sustainable sourcing (including transportation)? If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof, in about 50 words or so.**

NMDC Projects at Bailadila and Panna is concluding Rate Contract for transportation of all incoming and outgoing materials from Projects and vice versa. All the material is transported as per transportation Rate Contract terms & conditions and complete procedure is followed for sustainable sourcing (transportation).

Present Rate Contract at Bailadila Project and Panna is with the following 02 Firms:

- 1) M/s ARC Limited-Bacheli
- 2) M/s Balan Trasport-Bacheli

NMDC Donimalai is concluding transportation Rate Contract with other Transporters available at Donimalai site or area and they are concluding Rate Contract for Donimali Project. Approximate value of both the transportation Rate Contract at Bailadila & Panna and Donimali Complex is around ₹ 7.0 Crore.

4. **Has the Company taken any steps to procure goods and services from local and small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve the capacity and capability of local and small vendors?**

The company has taken various steps to procure goods and services from MSE firms as well as MSE SC/ST Entrepreneurs and Women Entrepreneurs. The achievement of Procurement from MSME firms are as below:

Sl. No.	From 1 st April 2021 to 31 st March 2022	Value in ₹ lakhs	Targets 2021-22
I	Total annual procurement	78428.00	
I(A)	Total annual procurement after deductions	27698.00	
II	Total value of Procurement from MSEs (including MSEs owned by SC/ST Entrepreneurs)	12373.00	
III	% of Procurement from MSEs out of total procurement at I(A)	44.67%	25%
IV	Procurement from SC/ST Entrepreneurs	1356.00	
V	% of Procurement from SC/ST Entrepreneurs out of total annual procurement at I(A)	4.9%	4%
VI	Procurement from WOMEN Entrepreneurs	851.00	
VII	% of Procurement from WOMEN Entrepreneurs out of Total Annual Procurement at I(A)	3.07%	3%

Due to the continuous efforts made by projects, various MSE meets specially for SC/ST Category were arranged at projects sites as well as in various cities as detailed below:

Sl. No.	Project	Place of meeting	Date of meeting
1.	Bailadila Projects	Raipur	04 th & 05 th Dec'21
2.	Head Office	Hyderabad	29 th Sep'21 & 11 th Dec'21
3.	Donimalai Project	Mysore	12 th Jan'22

As a result of the above efforts following increase is recorded in no. of MSE as well as SC/ST MSE firms against each project:

Sl No.	Description	Kirandul		Bacheli		Donimalai		Panna	
		2020-21	2021-22	2020-21	2021-22	2020-21	2021-22	2020-21	2021-22
1	No. of MSE Firms	505	517	389	391	255	260	85	87
2	No. of MSE SC/ST Firms	17	19	20	22	13	15	3	4
3	No. of MSE Women firms	18	20	09	11	18	19	9	10

Procurement through GeM Portal:

As per directives of Ministry, the Company tried its level best to procure maximum items available in GeM through GeM portal. Details are furnished below:

	2019-20	2020-21	2021-22
No. of Orders	1017	948	1713
Total Value of Orders (₹ Crores)	16.00	38.97	172.42

Above details shows that due to continuous efforts of MM department value of total orders placed through GeM portal has been increased from ₹ 38.97 Crores to ₹ 172.42 Crores.

Further, we have started to float Custom Bids through GeM Portal for the non-available items as per GeM Authority instruction and same has been communicated to all NMDC Projects, which will improve to procure maximum items through GeM

5. **Does the Company have a mechanism to recycle products and waste? If yes, what is the percentage of recycling of products and waste? (Separately as <5%, 5-10%, >10%). Also, provide details thereof, in about 50 words or so.**

Yes, NMDC employs safe, scientific and environment friendly methods of mining and mineral processing. It strives to apply the 3R policy (reduce, re-use and recycle) to its waste management plan with the aim of avoiding potentially harmful environmental and social impacts, during both the operational and post-closure phases.

NMDC mining projects are implementing productivity improvement mechanism and waste reduction initiatives along with exploring the possibility for re-use of byproducts. One of the waste reduction and mineral conservation is blending of low-grade ore is set for achievement for blending of low-grade ore (less than 55% Fe) is < 16% towards mineral beneficiation. The same is also reviewed periodically. Different lubricants in NMDC projects are disposed of to the agencies duly authorized for recycling. It has also set its target to treat, recycle and reuse the secondary waste water from the mining operations.

Principle 3: Businesses should promote the well-being of all employees

1. **Please indicate the total number of employees (as on 31.03.2022):**

Total: 5539 Category wise breakup is shown below:

Executives: 1468, Jr. Officers: 138, Workmen: 3933

2. **Please indicate the total number of employees hired on temporary / contractual / casual basis:**

Contract Labour: 6247 (NMDC) + 4220 (NISIP)

On Contract basis at NISP: 611

3. **Please indicate the number of permanent women employees:**

There are 360 permanent women employees.

4. **Please indicate the number of permanent employees with disabilities:**

There are 100 permanent employees with disabilities

5. **Do you have an employee association that is recognized by Management?**

Yes,

- Majority of the unions at project level have formed an independent apex body called All India NMDC workers federation (AINMDCWF).
- Supervisors have their own association [NMDC Supervisors' Association] at unit level and at corporate level.
- Executives have their own association [NMDC Officers' Association] at unit level and at the corporate level.

6. **What percentage of your permanent employees are members of this recognized employee association?**

All our permanent employees (100%) are members of their respective recognized employee association.

7. Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending as on the end of the financial year.

There have been nil complaints with regard to child labour, forced labour, involuntary labour, discriminatory employment and sexual harassment in the FY 2021-22. The requisite information in the prescribed proforma is furnished hereunder:-

Sl.No.	Category	No. of complaints filed during the financial year	No. of complaints pending as on end of the financial year
1	Child labour / forced labour / involuntary labour	Nil	Nil
2	Sexual harassment	Nil	Nil
3	Discriminatory employment	Nil	Nil

8. What percentage of your under mentioned employees were given safety and skill up-gradation training in the last year?

The safety training of the employees is a vital component of the Occupational Health and Safety Policy at NMDC. As the motto of NMDC goes 'A Safe Mine is a Productive Mine', the target is to achieve Zero Accident with optimum use of human resources, materials & machines with higher production / dispatches.

The percentage of employees given Safety and Skill Up-gradation Training for the FY 2021-22:

Sl.No.	Particulars	Percentage	
		Safety Training	Skill Upgradation Training
1	Permanent Employees	16.57	24.91
2	Permanent Women Employees	12.50	10.66
3	Casual / Temporary / Contractual Employees	49.66	2.55
4	Employees with disabilities	13.08	0.00

Principle 4: Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized

1. Has the Company mapped its internal and external stakeholders? Yes / No

Yes, NMDC has mapped its internal and external stakeholders for the purpose of stakeholder engagements. The key categories are as below:

- Local Community
- Investors
- Employees
- Customers
- Government and Regulatory Authorities
- NGO's and other stakeholders

NMDC engages with the identified stakeholders and communicates its major CSR initiatives in different forms and considers the feedback in planning future initiatives.

2. Out of the above, has the Company identified the disadvantaged, vulnerable and marginalized stakeholders?

Yes, NMDC has identified the disadvantaged, vulnerable and marginalized stakeholders with the help of socio-demographic data of the community through baseline surveys conducted as the part of its CSR policy objectives and through consultation with State Authorities.

3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalized stakeholders? If so, provide details thereof, in about 50 words or Yes, most of the major CSR activities implemented by NMDC have benefitted the disadvantaged, vulnerable and marginalized stakeholders and are given below:

- During the academic year 2021-22, 40 Tribal girl students under the 'NMDC Balika Siksha Yojana', were given sponsorship for Nursing Courses, which is a unique initiative in State of Chhattisgarh to benefit Tribal girls of Bastar Division.

- Continued operation of NMDC Shiksha Shayog Yojana- A scheme providing Scholarships to upto 18,000 SC/ST students for encouraging them to pursue education beyond 8th class up to Graduation.
- Support to Mid-Day Meal Scheme to provide nutritious & wholesome meals in Govt. Schools around Donimalai mines, Karnataka, covering 8000 students..
- NMDC has taken up a Skill Development Programme for training 60 tribal youth around NMDC Projects in Bailadila region of Dantewada District, Chhattisgarh in partnership with a leading University in Odisha. 28 of these trainees have already been trained in Phlebotomy (Blood collection technician), with all of them having got gainful employment & the remaining trainees are undergoing training in Operation Theater Technician skills.
- NMDC has successfully completed a Recognition of Prior Learning (RPL) based skill development training in Bastar Division, which was taken in partnership with Chhattisgarh Swami Vivekanand Technical University (CSVТУ), Bhilai. Under the above initiative 393 trainees underwent the requisite training for receiving certification for their Skills.

Principle 5: Businesses should respect and promote human rights

1. **Does the policy of the Company on human rights cover only the Company or extend to the Group / Joint Ventures / Suppliers / Contractors / NGOs / Others?**

NMDC supports the Universal Declaration on Human Rights and the United Nations Global compact. It owes allegiance to the constitution of India, which resolves to secure to all its citizens justice, liberty, equality and fraternity, also encompasses the fundamental human rights as envisioned in the Universal Declaration of Human rights. It stands committed to protecting human rights in its workplaces and of its subsidiaries. Also a separate committee for redressal of grievances of women employees in particular has been constituted.

2. **How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the Management?**

There have been Nil cases of human right violation during the FY 2021-22.

Principle 6: Businesses should respect, protect, and make efforts to restore the environment

1. **Does the policy related to Principle 6 cover only the Company or extends to the Group / Joint Ventures / Suppliers / Contractors / NGOs / Others?**

Businesses should respect, protect, and make efforts to restore the environment. The environmental management at NMDC is governed by its Corporate Environmental Policy. The policy extends to NMDC and its subsidiaries.

2. **Does the Company have strategies / initiatives to address global environmental issues such as climate change, global warming, etc? Y / N. If yes, please give hyperlink for webpage etc.**

Yes, NMDC understands and recognizes the implications that climate change would have on its business, environment and community. NMDC has framed policies around the climate change and other global environmental challenges. It stands committed in promoting greater environmental responsibility in mining and processing of minerals for sustainable development. The environmental management at NMDC is governed by its Corporate Environmental Policy. The Policy outlines its commitment to prevention and control of environmental pollution, conserve the natural resources, monitor and ensure compliance, continual environmental performance improvement, safeguarding the environment, educating its employ-ees and communities about the environmental commitments and applying proven management prac-tices to prevent or mitigate negative environmental impacts.

NMDC believes that Greenhouse gas emissions are one of the key concerns of “cost to environment” for modern business, it wishes to embark on low carbon growth trajectory in its operations. NMDC measures, records, calculate and reports its GHG’s every financial year. The possible mitigation measures proposed for the thrust areas of mining, mechanical and electrical services are being looked into for abatement. Also, NMDC being a signatory to the ‘United Nations Global Compact, it reports its environmental performance annually under the defined principles of UNGC. The hyperlink to view the Environmental related details is given below: <https://www.nmdc.co.in/important-links/environment-clearances>

3. **Does the Company identify and assess potential environmental risks? Y / N**

Yes, NMDC has defined methods of identifying and assessing potential environmental risks. It carries out Environmental Impact Assessment

of operations/activities to identify impacts on the surrounding environment and initiate mitigation measures accordingly. EIA for all its mines and industrial activities has been conducted and mitigation measures are been implemented accordingly. Regular monitoring of environmental parameters is carried out to ensure the effectiveness of the measures implemented and to comply with the CPCB /MOEFCC guidelines.

NMDC project sites are certified to Integrated Management System including SA-8000: 2014 and as a part of requirements of EMS carries out aspect-impact studies for all the activities and operations for identification of critical activities for setting objectives and targets. The system is audited biannually through third party auditors (apart from the periodic audits carried out by certified internal auditors) to verify adequacy and effectiveness of the system and to identify changes if any required in objectives, targets and management plan.

4. Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof in about 50 words or so. Also, if yes, whether any environmental compliance report is filed?

Yes, NMDC has taken up many initiatives to contribute to the Clean Development Mechanism. Some examples are:

1. **Installation of Wind Mill project:** NMDC has commissioned seven wind energy generators in Mar 2009 with installed capacity of 10.5 MWH at a total cost of ₹ 65.55 Cr near Chitradurga, Karnataka. The project has been registered with the United Nations Framework Convention for Climate Change (UNFCCC).
2. **Electricity regeneration in the Downhill Conveyor system:** NMDC has implemented electricity regeneration in the Downhill Conveyor system at Bailadila and Donimalai. The electricity generated in the downhill conveyors is fed back into the grid, thereby reducing the draw of electricity from the main grid at its projects.
3. **Solar Power projects:** With the green energy initiative of Govt. of India focusing more on renewable energies, NMDC has set up Solar Power projects at its Office premises. This includes 30 KW rooftop solar power generations at Head Office and 1 MW rooftop solar power generation at production units of NMDC.

4. Electric Shovels: NMDC is using electrically operated shovels and drills at the projects. A total of 17 electric drills and 10 electric shovels are being used at all the mining projects of NMDC as a replacement of diesel operated drills and shovels.

5. Fuel efficiency: In order to reduce GHG emissions by optimizing diesel consumption, NMDC conducted trial tests for diesel consumption by adding additives to conduct trial test of diesel additive THERMOL-D at BIOM Kirandul Complex. This additive THERMOL-D improves the combustion efficiency of the diesel engine. THERMOL-D is an eco-friendly, multifunctional diesel additive which helps in complete consumption of Diesel and also helps in maintaining cleanliness of the entire fuel system components. NMDC will be using THERMOL-D for achieving the reduction in year wise diesel consumption.

6. Development of carbon sinks: Since, inception of mining operations, NMDC has planted more than 2.5 million trees in and around its mining leases in Bailadila region in Chhattisgarh State. NMDC regularly contributed to CG state flagship 'Chhattisgarh Harihar Tree Plantation Programme'. The afforestation carried out and proposed to be carried out will create a long-term carbon sink. Also, NMDC, in coordination with Forest Departments has prepared comprehensive Bio-diversity conservation plans which includes soil and water conservation, grassland development, habitat development for endangered species, water body development, identification of endangered species and species of high significance, captive breeding facilities etc. The biodiversity conservation plans will help revive population of endangered species.

5. Has the Company undertaken any other initiatives on - clean technology, energy efficiency, renewable energy etc? Y / N. If yes, please give hyperlink to web page etc.

Yes, NMDC being a signatory to UNGC, it stands committed in encouraging the development of environment-friendly technologies along with its Corporate Environmental Policy. Also, NMDC's research and development Centre has earned rare distinction of competence of undertaking technology development mission related to efficient mineral processing. To know more about the initiatives, please see the hyperlink given below: <https://www.nmdc.co.in/important-links/environment-clearances>

6. Are the Emissions / Waste generated by the Company within the permissible limits given by CPCB / SPCB for the financial year being reported?

Yes. All emissions & wastes generated by NMDC are monitored on a regular basis and are within permissible limits as specified by CPCB/SPCB. Also, the returns are filed regularly to the statutory authorities as per requirement. To know more about the initiatives, please see the hyperlink given below:

<https://www.nmdc.co.in/important-links/environment-clearances>

7. Number of show cause / legal notices received from CPCB / SPCB which are pending (i.e. not resolved to satisfaction) as of end of financial year.

Regional Officer, Chhattisgarh Environment Conservation Board has filed a complaint under section 41, 43 & 47 of Water Act 1974 against NMDC, Kirandul Project in Hon'ble court of Bachel on 3/12/2016. The matter is under sub-judice.

Principle 7: Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner

1. Is your Company a member of any trade and chambers or association? If yes, name only those major ones that your business deals with.

Yes. NMDC is a member of various trade and chambers / associations. Few of the major ones are listed below:

- Federation of Indian Mineral Industries, New Delhi (FIMI)
- Skill Council for Mining Sector (SCMS)
- Mining Engineers Association of India (MEAI)
- The Mining, Geological & Metallurgical Institute of India (MGMI)
- Indian Institute of Mineral Engineers (IIME)
- All India Management Association, New Delhi
- Federation of Indian Chamber of Commerce and Industry, New Delhi
- Standing Conference of Public Enterprises, New Delhi
- Confederation of Indian Industry (CII)
- Indian Iron and Steel Sector Skill Development Council
- Federation of Indian Export Organization, Chennai
- The Associated Chambers of Commerce & Industry of India)
- Global Compact, UN

2. Have you advocated / lobbied through above associations for the advancement or improvement of public good? Yes / No; if yes, specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Polices, Energy Security, Water, Food Security, Sustainable Business Principles, Others)

Yes, following are the broad areas:

- Sustainable Mining Practices
- Energy Conservation
- Inclusive Development

Principle 8: Businesses should support inclusive growth and equitable development

1. Does the Company have specified programmes / initiatives / projects in pursuit of the policy related to Principle 8? If yes, details thereof.

Yes, NMDC has a host of programmes / initiatives / projects in its identified focus sectors defined in the CSR Policy. Some of the major CSR initiatives are listed below:

Literacy and Education

- NMDC's Siksha Sahayog Yojana
- NMDC Balika Siksha Yojana
- Operation of Polytechnic College at Dantewada
- Operation of ITIs at Dantewada and Nagarnar
- Operation of Residential School at Nagarnar

Health Care

- Free medical treatment at Project hospitals
- Hospital on Wheels (How) – providing health services in remote villages, operating 13 Vans (10 in Bellary in Karnataka & 3 in Bailadila in Chhattisgarh) covering 165 villages in Chhattisgarh & Karnataka.
- NMDC has partnered with the Govt. of Chhattisgarh for installation of solar power-based electrification facility in health centers and providing solar maternity cum mother care kits in health centers of 6 Districts of Bastar division.
- NMDC has provided support to Sri Satya Sai Sanjeevani Hospital, Naya Raipur, for setting up a 500 KW Solar Power Plant and thereby save resources for extending Cardiac care to more needy children.
- Construction of Shelters and providing other necessary facilities for attendants in District Hospital Dantewada

- Financial support to reduce the prevalence of Malnutrition & Anemia among children and Adolescent girls & women of reproductive age group in Bastar Division
- Drilling and installation of 115 Handpumps in High API (Animal Parasite Index) 94 villages of Bijapur
- Initiative for addressing the issue of malnutrition among children in Chhattisgarh.

NMDC's contribution towards Fight against COVID -19

- In the National effort in the Battle against the COVID 19 Pandemic, the following were some of NMDC's noteworthy contributions during the year 2021-22:
 - i. Contribution of ₹ 150.00Crore to the PMCARES Fund.
 - ii. As a contribution to the National vaccination programme initiated by the Govt. of India, NMDC has provided Cold Chain Equipment for storage of COVID19 vaccinations in the states of Chhattisgarh & Telangana in the form of Deep Freezers, Ice line Refrigerators and walk-in Coolers
 - iii. NMDC is setting up of a 100 bedded COVID-19 Hospital in Panna Dist. Madhya Pradesh
 - iv. Setting up temporary COVID-19 care centre cum Hospital with 230 fully oxygenated beds at Naya Raipur, Chhattisgarh
 - v. Provided 04 Medical Oxygen Generating Plants: 02 each in Karnataka & Chhattisgarh

Rural Development & Infrastructure

In spite of the challenges associated with the COVID 19 Pandemic, NMDC's commitment to Rural Development initiatives around its Projects was continued. Besides meeting its commitment w.r.t. completion of various Rural Development/ infrastructure development works already underway, NMDC took up the following activities:

- Construction of various rural CC roads, culverts, retaining wall and a Dome shed in the Gram Panchayat areas in District Dantewada,
- Assisted in procurement of tipper cum dumper/ for door to door wastage removal & disposal in these areas.
- Successfully completion of seven out of the ten bus shelters being constructed in partnership with the State Govt. of Karnataka.

2. Are the programmes / projects undertaken through in-house team / own foundation / external NGO / government structures / any other organization?

NMDC takes up various CSR activities through an internal team as well as in partnership with State / District Authorities and NITI AAYOG registered non-governmental organization (NGO's) and Trusts, who are also registered with Registrar of Companies for implementing CSR activities, depending on the specifications of the activity proposed. The CSR initiatives taken up through partnerships are evaluated and monitored jointly by the CSR department and partnering organization.

3. Have you done any impact assessment of your initiative? Give details

Yes, a comprehensive Impact assessment Study connected with the CSR Programme of the Company commissioned in the recent past was concluded in 2021-22, with the submission of the final Report and, the relevant Report can be accessed at the following link:
<https://www.nmdc.co.in/csr/csr-activities/impact-assessment>

4. What is the Company's direct contribution to community development projects - Amount in INR and the details of the projects undertaken?

NMDC has spent an amount of ₹ 287.33 Crores on development projects as under in FY 2021-22 broadly under the following heads, which also form part of Schedule VII of the Companies Act.

(1) Education (2) Drinking Water (3) Health and Hygiene (4) Free Medical Treatment (5) Nutrition (6) Infrastructure (7) Skill Development (8) Rural Development (9) Sanitation (10) Environment.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.

Yes, the CSR team at NMDC takes feedback from the beneficiaries to know its impact or scope for improvements if any. Also, the impact assessment carried out by a third party along with the NMDC's CSR team for its major CSR initiatives and captures the effectiveness of the community development projects and responses of the community people towards the initiative.

NMDC takes all the requisite measures to ensure that its community development initiatives are successfully adopted by the community by way of initiating dialogue with the community to assess their need and by seeking a firm & written commitment from the beneficiary stakeholders during the pre-implementation consultation/need

assessment process w.r.t. post implementation maintenance and up keep of the infrastructure and support to instill a sense of ownership among the beneficiaries for initiating the activity. Hence, sustainability has become an integral part of NMDC's CSR initiatives.

Principle 9: Businesses should engage with and provide value to their customers and consumers in a responsible manner

1. What percentage of customer complaints / consumer cases are pending as on the end of financial year?

All the customer complaints are being dealt in time bound manner and there are no complaints pending at our end as of end of FY 2021-22.

2. Does the Company display product information on the product label, over and above what is mandated as per local laws? Yes / No / N.A. / Remarks (additional information)

Not Applicable. Our product being a bulk commodity, it is not feasible to put product labels. The product specifications are being displayed on the Company's website. To know more about the product specifications. Please see the below hyperlink: <https://www.nmdc.co.in/Products.aspx>

3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and / or anti-competitive behaviour during the last five years and pending as of end of financial year? If so, provide details thereof, in about 50 words or so.

No case is pending against NMDC as at the end of financial year 2021-22.

4. Did your Company carry out any consumer survey / consumer satisfaction trends?

No consumer survey has been carried out in FY 2021-22. However, regular customer meets are being conducted at Hyderabad / Raipur / NMDC Projects to assess customer satisfaction trends.

Cautionary Statement

The statements in the Directors' Report and Management Discussion and Analysis Report are forward looking statements and progressive within the meaning of applicable laws and regulations. Actual results may vary from those expressed or implied, depending upon economic conditions, Government Policies and other incidental factors that may arise. Shareholders / Readers are cautioned not to place undue reliance on the forward looking statements.